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"The focus is on building distribution infrastructure"

It has been six months since **Ajay Srinivasan** quit as Asia Head of Prudential Corporation and joined the Aditya Birla group. He has now taken on a dual responsibility—as Chief Executive, Financial Services, and as Director, Corporate Strategy and Business Development. He talks to **M Anand** about the challenges in his new roles

How is your new role shaping up in financial services?

Our financial services business has a good platform. When I say platform, I am talking about not just the businesses but also about the brand, the licences and the people we have. All the segments we are in—life insurance, asset management, NBFC, distribution of wealth management products, broking for general insurance—are growing well and have a good momentum. But right now, we need to turbo-charge our existing businesses. We are also looking at other opportunities in this space. My vision is to build a financial services business that is leading in many aspects and is valuable to all our stakeholders.

But outsiders feel the group's financial services business has not done as well as others in the space...

If you take a two to two-and-a-half-year timeframe, our market share has slipped in both life insurance and mutual funds. But this financial year, our market share has increased. The curve has turned up and that's what I meant by momentum (market share in insurance, for example, has increased from 5% to 6%, though it was at 13% at one point of time). Our asset management business is no different—we were at Rs 19,000 crore in assets in March 2007, today we are at Rs 32,000-33,000 crore. Both these businesses have grown faster than the market. We are among the top five players in insurance and asset management. The group may have slipped a little, but that does not mean that the group is not serious about the business.

Your last job was at the Asia-Pacific level, responsible for assets of over \$60 billion. What made you move here?

There are three kinds of changes. One is from a fund management perspective—to do something that's broad-based. I'd like to do more in retail financial services in a broad platform and not limit myself to fund management. The second change is from a pan-Asian perspective to an Indian perspective, at least for now. But this could very well become a regional thing later. To me, sitting in Hong Kong,

it was very clear that there are really four markets that are of interest. You have Japan and Korea—that's where all the wealth lies. Nearly 85% of assets in the region lie in Japan and Korea. But if you look at where the growth is, and therefore, where the numbers are going to be, China and India are the obvious places. The third change was a shift from a foreign MNC to an Indian MNC. To me Indian groups have a flexible and nimble mindset. This allows you the speed of execution that is required today.

I gather that you have already put together a blueprint for the group in this space. What were the key take-aways from this exercise?

The idea was to get a top management consulting firm to draw up a landscape of opportunities in financial services, not just from a perspective of where the businesses are today, but also from a perspective of how this has developed globally and also to get a sense of how developments could unfold. It was really meant to be a landscape presentation that would help us build a vision and road map. That exercise now becomes a guiding path for people within the team and the shareholders.

Everybody knows there is a large opportunity, but this exercise has helped us put a number to it. The specific areas

PHOTOGRAPHS: SOUMIK KAR



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